

complaint

Mr C and Mrs T have complained about their home insurer, Ageas Insurance Limited because it declined their claim made to it following a flood at their home.

background

In June 2016 there was excessive rain in the area of Mr C and Mrs T's home. Drains near their house were inundated; water backed up and flooded their home. They contacted Ageas and a disaster recovery specialist was appointed straightaway with some strip out works to the flooring and skirting taking place within a few days.

A loss adjuster visited within a few days too and there was a call from the brokers. Both told Mr C and Mrs T that there might be a problem with Ageas accepting the claim because of an endorsement on the policy which removed cover for flood damage:

"Section 1 (Buildings) and Section 2 (Contents) of this insurance does not cover loss or damage caused by flood other than directly resulting from escape of water from fixed water tanks, apparatus or pipes as shown in number 4 of Sections 1 and 2."

The loss adjuster said to help Mr C and Mrs T he'd have a drying company provide equipment to help dry the property but they should otherwise act as if they were uninsured until he'd made enquiries to see if there was cover available. The loss adjuster asked Ageas if it would accept this as a claim for storm or escape of water. And Ageas made enquiries about how the policy was sold with a view to establishing if the endorsement had been made clear to Mr C and Mrs T.

Ageas determined that Mr C had been made aware of the endorsement and that he'd agreed to it. It decided this incident couldn't be viewed as having been caused by a storm or escape of water. It told the loss adjuster this was a flood event and the claim was declined. The loss adjuster wrote to Mr C and Mrs T on 18 July 2016 advising of this.

Mr C and Mrs T were disappointed but set about restoring their home. In summer 2017 Mr C and Mrs T made contact with a loss assessor who said he could challenge the claim decision. On 1 September 2017 Ageas issued its final response to Mr C and Mrs T. In it Ageas said that water coming into the property from outside is flood, whether or not its source is a river. Mr C and Mrs T complained to this service.

Our investigator felt that given the extensive reporting of flooding in the area and that the policy excluded cover for flood damage, Ageas' decision was fair and reasonable. Mr C was unhappy. He felt we'd overlooked that this incident wasn't related to the river flooding. He noted that he'd agreed to the endorsement but said this was on the basis that flooding from the river was what was being excluded. He felt if other forms of damage were being excluded too they should be expressly named.

I considered the complaint and didn't feel it should be upheld. I issued a provisional decision explaining my views and both parties were given chance to respond. I've copied my provisional findings here:

"my provisional findings"

endorsement

Mr C accepts that he was aware of the endorsement. But it seems he understood this was in place to restrict cover where the river burst its banks. However, that isn't what the endorsement says. There is no allowance for flood, other than by a river, to be covered. The endorsement in fact prohibits all damage caused by flood unless the flood is from water over-spilling from fixed water apparatus. So in this instance it doesn't matter whether the flood was caused by the river bursting its banks or because the drains couldn't deal with the amount of rain and surface water being discharged into them.

storm

The loss adjuster considered whether the damage might be covered under this event as he noted that there had been an unusual and excessive fall of rain immediately before and during the flooding. But Ageas refuted the idea. In the circumstances I think that was fair and reasonable. The flood endorsement is quite broad – unless water floods from apparatus, flood damage won't be covered. And in this sort of situation it's necessary to consider the nature of the damage too. Here the damage to the property has resulted in lots of water sitting in and under the home, and that is flood damage, not that usually related to a storm.

escape of water (from fixed apparatus)

I know the loss adjuster also looked at this but again Ageas rejected the idea. From what I've seen I think that was fair. Photos taken of the home whilst the flood waters were still present don't suggest that water filled the bath and/or sink etc and over-spilled flooding the home. And the loss adjuster's report from July 2017 notes the presence of air bricks at the front of the property at ground floor level which had been submerged by the external flood water, allowing water into the property.

stripping out the property

Ageas sent in specialists very quickly. And on occasion when an insurer takes this type of action, this service will consider it has entered into a contract to repair the property. However, we're also mindful that where unusual events occur – like large scale flooding – insurers often act in response to an emergency situation before fully considering their liability on the policy. Acting in this way benefits everyone and it isn't therefore fair to consider that by acting the insurer has accepted cover is in place.

I'm also mindful here, having now seen the loss adjuster's report and some other case details, that action taken to strip the property occurred pretty much simultaneously with warnings being given that cover may not be available. And within just over a fortnight of the loss adjuster's visit the claim was formally declined. So this isn't a case where the insurer's agents acted as though there was cover in place whilst disregarding a clear bar to liability (the endorsement).

I know that Mr C and Mrs T have raised concerns about the damage done to their home when the floor coverings and skirtings were stripped out. But looking at the detail of the flooring and the height of the flood waters, I think it's unlikely that anything could have been salvaged. And I think it's also likely that the plastering at low level would have needed replacing as a result of the flooding too. Meaning any damage done to the plaster by removing the skirting likely didn't cause any additional reinstatement work to be needed over and above that which was already necessary due to the flood.

summary

I fully appreciate that this event, coupled with the news that Ageas wouldn't cover the damage came as a shock to Mr C and Mrs T. And I know from what they've said that it's been difficult, as well as immensely costly, to get things put right. And not least because they've had to fund living elsewhere on top of the reinstatement works. However, having looked at everything, I'm not persuaded that Ageas did anything wrong here or that there is any way that their loss could fairly be said to be covered under the policy they had in place.

When Mr C and Mrs T took out this cover there was limited availability from insurers for policyholders living in flood risk areas – and that doesn't necessarily just mean those that live near a river. Some insurers now do offer cover for flood regardless of flood history. I'm not sure whether Mr C and Mrs T might be able to find cover that suits them but, and if they haven't done so already, it might benefit them to shop around to see what is available. Some further information on this topic is available on the internet, particularly the Association of British Insurers' (ABI) website."

Ageas didn't reply. Mr C and Mrs T, via a representative did. The response can be summarised as:

- Whilst Mr C was aware of the endorsement, the policy was likely mis-sold as it wasn't fit for purpose, purporting to cover flood but then not doing so.
- It's unclear why flood related damage is excluded but damage caused by storm/excessive rainfall would be accepted.
- In any event, it was storm rain that caused the river to burst, so the storm was the dominant cause of the damage at Mr C and Mrs T's home. And their policy offers cover for storm damage.
- It's not true that no damage was caused by the waste/soil pipes. And damage caused by this and that caused by river water entering the property can't be distinguished between.
- Viewing the matter as flood is just a matter of convenience for the insurer.

my findings

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint. Having done so, and with regret for the disappointment I know this will bring to Mr C and Mrs T, I'm not minded to uphold their complaint.

Ageas didn't sell this policy. So I can't consider an allegation about mis-sale against it.

All insurers are able to choose what they want to offer cover for. What cover an insurer offers is considered to be a matter of its commercial judgement and not something this service will usually interfere with.

Insurance is about risks and Ageas evidently isn't prepared to take on any risk regarding flood damage (with the exception of flooding from fixed water apparatus under the escape of water cover). However, it is happy to offer cover for damage caused by a storm. Why it has made that choice is a matter for it, it's not something we'd interfere with.

For this to be considered under the cover for storm damage the loss which had occurred would have to be that seen to be typically caused by a storm. Typical instances of storm damage that we see involve tiles missing from roofs and internal water staining and/or dampness. Damage such as that which needed repairing at Mr C and Mrs T's home resulted from several inches of water having entered the home, most likely via ventilation bricks and other gaps in the building, because of the over-flowing river and/or drains. That is not damage typically associated with storm.

Flood is usually defined as a body or mass of water that has appeared somewhere it shouldn't usually be. Generally there might be a number of reasons why any flood occurs. But in June 2016 there was a flood at Mr C and Mrs T's home, which caused damage.

That flood may well have been caused by storm water causing the river and/or drains to overflow. But as I pointed out provisionally; Ageas' flood endorsement is quite clear. Flood damage is excluded unless the flood which is said to have caused the damage resulted from water escaping from fixed water apparatus; cover for which is then provided under the escape of water terms.

I've seen no evidence to suggest that water escaping the fixed apparatus caused the damage. Once water had escaped from such apparatus it might well cause the same or similar damage as water entering the home as a result of a river and/or drains overflowing. Because both scenarios would result in the same outcome – water being where it wasn't meant to be, contacting surfaces that aren't waterproof. But, in this case, if water had escaped, I'd have expected to see signs of that. The evidence from when the flood waters were still in place, for example in the bathroom of Mr C and Mrs T's home, is that water hadn't filled and over-spilled items like the bath.

I accept that my findings are inconvenient for Mr C and Mrs T, but that doesn't mean they've been made to assist the insurer. Rather I've assessed the evidence to hand to determine whether Ageas' decision to decline the claim on the basis that a flood had occurred which, as a result of the endorsement, it had no liability for, was fair and reasonable. Having done so, I'm satisfied that it was.

my final decision

With regret for the disappointment I know this will cause Mr C and Mrs T, I don't uphold this complaint or make any award.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr C and Mrs T to accept or reject my decision before 20 September 2019.

Fiona Robinson
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